

X

The Modern World

In 1930, while most people were darkly occupied with the deepening depression, Keynes was toying with an idea of a very different hue. In disregard of his own dictum that in the long run we are all dead, he had just taken a glimpse into the future—the long-term future—and he had come up with a prophecy quite in contrast with the Cassandra-like rumblings of the day. For what Keynes saw ahead—barring such catastrophes as an uncontrollable flood of population or a totally destructive war—was not a continuation of the current state of misery and doubt, but a prospect so fair as to be almost unbelievable—nothing less than Adam Smith’s heralded land of universal plenty.

Keynes called his little excursion into the future *Economic Possibilities for Our Grandchildren* (of whom, it might be added, he himself had none). And what were these possibilities? Well, not to wax too lyrical, they hinted at something like a modest millennium: by the year 2030 Keynes thought the economic problem might be solved not just the immediate crimp of depression, but the economic problem itself, the age-old fact of Not Enough to Go Around. For the first time in history, mankind British mankind, at any rate—would have emerged from a struggle against want into a new milieu in which everybody could with ease be given a generous helping at the communal table.

It was a typically Keynesian thrust in an unexpected direction. After the First World War, when the world was basking in a glow of self-congratulation, it was Keynes who had rattled the skeleton in the closet—now in the thirties when the world turned to self-commiseration it was the same Keynes who bravely talked of an impending end to its travail. But he was not merely whistling in the dark. On the contrary, he was only taking up a strand of economics which had absorbed all the master planners of the past—the tendency of capitalism to grow.

In times of depression that tendency was apt to be overlooked. And yet, looking backward over two hundred years of capitalism, it was not merely a meaningless succession of exhilarating booms and frustrating busts which had characterized the system, but a steady, albeit highly irregular, upward climb. The forty million Englishmen of Keynes's day most certainly did not consider themselves the benefactors of a bountiful providence, but for all the hardships of the times, they unquestionably enjoyed a far better seat at Nature's table than the ten million Englishmen of Malthus' time.

It was not that Nature herself had become more generous. On the contrary, as the famous Law of Diminishing Returns made clear, Nature yielded up her wealth more grudgingly as she was more intensively cultivated. The secret to economic growth lay in the fact that each generation attacked Nature not only with its own energies and resources, but with the heritage of equipment accumulated by its forebears. And as that heritage grew—as each generation added its quota of new knowledge, factories, tools, and techniques to the wealth of the past—human productivity increased with astonishing rapidity. A factory worker in the 1960's in the United States turned out between four and five times as much goods in an hour's toil as a worker at the time of the Civil War—not because he worked harder or more skillfully, but because he worked with mechanical helpers which made him a superman compared with his Civil War predecessor.

And if only this process of steadily enhancing productivity would continue for another century—a mere three

generations—then capitalism would have done the trick. For another hundred years of amassing wealth, Keynes calculated, at the same pace as the last hundred years, would multiply England's real productive wealth by seven and one-half times. By the year 2030, every worker would have at his elbow machinery which would make him a superman in terms of his grandfather who lived in 1930.

And such a vast increase in productiveness could make all the difference. It could relegate economics as a science of scarcity to the history books. The new problem of society would be not how to find leisure, but how to cope with unprecedented quantities of it. With a grin Keynes quoted the traditional epitaph of the old charwoman:

Don't mourn for me, friends, don't weep for me never.
For I'm going to do nothing for ever and ever.
With psalms and sweet music the heavens'll be ringing,
But I shall have nothing to do with the singing.

It was, of course, only a theoretical jaunt into the future and no one took it very seriously. The machinery was clanking too alarmingly in 1930 for anyone to regard such a prospectus as much more than a pleasant fantasy, and Keynes himself soon lost sight of it in the immediate problem of analyzing the nature of the unemployment which was paralyzing the world.

But wishful or sober, Keynes's vista is important for us. For with *Economic Possibilities for Our Grandchildren* we are for the first time confronted with the question of our own futures. Everything we have considered heretofore is, after all, only history. The evolution of the regulated and codified world of the seventeenth century into the atomistic market capitalism described by Adam Smith; the near escape of that capitalism from the landlord-dominated economy anticipated by Ricardo or the overpopulated subsistence society feared by Malthus- its presumptive self-destruction forecast by Marx; its chronic depressive tendency dissected by Keynes-all these adventures and misadventures of capitalism, however in-

teresting, nevertheless lacked a certain element of suspense. For we knew at each juncture of history what the outcome would finally be. Now we are placed in a more uncomfortable position. As we turn to the modern economists, we are no longer discussing the ideas which helped shape our past: it is our own society, our own fate our children's inheritance which lie in the balance.

And so we must turn from a study of our past to an appraisal of our future. Where does capitalism stand today; where is it going; what signposts point to the years ahead. These are the great questions of contemporary economics and it is to them that we must now bend our attention.

Perhaps we should begin by taking stock. We will be better able to judge the chances and dangers which may lie in store for us if we have a clear idea of where the present finds us. So let us put this crucial question: how well do Americans fare under their present economic system?

How

Some fare very badly.

In the mid-1930s—years in which average living standards were never higher—a sizable fraction of Americans still lived in conditions of economic misery and want. In the crowded Negro and Puerto Rican slums of New York, the dreary agricultural backwash communities of Mississippi and Tennessee, large numbers of American families still experienced levels of economic “well-being” which failed by any standard to provide lives of decency. Some eight million families—one out of every six—scrimped along on annual incomes of less than \$3,000; and four and a half million single persons—more than one out of every three—subsisted on incomes of \$1,500 or less. This was not Asiatic poverty by a long shot, as witness the forests of television masts even in the poorest urban neighborhoods, but it was a level of economic meanness in which television was bought at the expense of decent medical care and was enjoyed in the crowded and smelly “comfort” of an all-too-often rat-infested living-bedroom. If we take a family income of \$4,000 a year as the begin-

nine of economic independence—a figure which allots

family of four—then we find that almost one out of every five non-farm American families had failed to reach this first rung on the ladder of true economic adequacy by the middle 1960's. And this does not started attached individuals' —young people just getting started older people ending their productive lifetimes—thirty per cent of whom were under the \$2,000 mark.

In a society which boasts of its stupendous economic success this is hardly cause for unrestrained jubilation. Indeed it means that for the lowest quarter of the nation capitalism as a system of high living standards, personal dignity, or individual “affluence” is still little more than a myth, or, worse, a bitter mockery.

But it is possible to become indignant over such facts without viewing them in perspective. And the perspective is this: nowhere in the world has humanity succeeded in scraping together enough from nature or in sharing out that which it has scraped together in such a way as to provide a measure of decency for all. In the teeming continents of the East, the Malthusian dilemma at its realest and most awful has actually lowered human living standards in many nations over the past fifty years. Asiatics stand at the actual threshold of survival itself. In Africa, the Near East, South America, and Eastern Europe, grinding poverty is the rule rather than the exception. In Europe the highest standards that have been achieved—in Switzerland, for example—are only slightly over half the average American standard; and Switzerland is twice as well off per capita as the Netherlands.

Nor have the socialist nations done much better. Although some of them have shared out their wealth more equitably than we, they have failed to produce as much wealth, and the resulting slices of cake, although more uniform, are thinner. And Russia, for all her original egalitarian ideals and her hard-driving attempts to catch up with the Western World, is far down the scale of universal plenty. It is difficult to compare Russian standards of living with American, since many services for

which we pay—such as medical care, higher education, or rent—are provided free or very inexpensively by the Soviet government, but certainly the enjoyment of material well-being in Russia is still far below that of our economy.

Against this somber backdrop, American capitalism has performed exceedingly well. Despite our submerged fourth of a nation, we are closer than any community in history to attaining that bright goal seen by Keynes—an economy without poverty. Indeed, we are almost there! For if the trend of the past continues into the future for another twenty years, we may within our own lifetimes usher into being the first economy of universal sufficiency the world has ever seen.

The possibility is clearly there. In 1929 our average income for all families and unattached individuals was \$2,340. Translate this into the dollar values of the mid-1960s and you boost the mid-mark of American living standards in the zenith year of pre-Depression capitalism to the equivalent of about \$4,500 of 1965 purchasing power.

Today the comparable figure for the average after-tax income of all families and unattached individuals is approaching \$7,500. In other words, with all price increases washed out, the average household is some two-thirds better off than it was in the so-called heyday of American capitalism. Now project this rate of improvement forward another thirty-odd years to the year 2000, and a genuinely impressive and certainly unprecedented vista opens. By 2000 our average-household income—at today's values—would be nearly \$15,000. And if we should avoid the wasted years of a major depression, the figure would be considerably higher.

Better yet. In that potential world of plenty, the gulf between rich and poor will likely have narrowed still further. For over the past thirty years, the income of less-well-off households has risen half again as fast as the income of upper-income households. Partly this has been due to a great leap in the productivity of the working class; partly it has been due to a deliberate attempt to

limit wealth at the top by policies of progressive taxation. As a result, according to the calculations of Dr. Simon Kuznets, the share of the nation's income going to the very apex of the economic pyramid—the upper one per cent of income receivers—has been nearly sliced in half since 1929. And while the concealing of top incomes via expense accounts, tax-exempt interest, and capital gains has undoubtedly made the real decline a good deal less in fact than these figures indicate, there can be no doubt that capitalism is handing out its rewards on a more egalitarian basis than ever before.

So if the trend of the past continues, then in the hopeful vistas of the future we can expect the lowest quarter of the nation to have done better than merely ride with the current. It is not likely that the rich will be much further squeezed, for already tax avoidance has become a dangerous competitor of old-fashioned money-making. But the redistribution may yet be brought about by shunting more of the gains from growth toward the lower income brackets instead of sharing them with rich and poor alike.

To be sure, there is a caveat. The redistribution of the past has been brought about, as we have seen, because the average working person has been carried along on the flood tide of economic growth even faster and farther than the capitalist. Significantly, the factory worker—Karl Marx's proletarian hero and the proverbial underdog of capitalism—is no longer to be found among the ranks of the poor. The worker in an average manufacturing establishment makes \$5,000 a year, and one in five makes more than \$6,500.

But there is a danger that in our system there will develop a new lower class that will not be lifted up on the general advance. The tenant farmers on submarginal farms, the inhabitants of bypassed areas like the Cumberlandlands, the discouraged slum families caught in the "cultoe of poverty," and above all the Negro, victim of decades of oppression that is not yet ended—all these fail to respond to the rise of the economy because they are not in the economy. Their poverty is social rather than

economic—a fact that reflects well enough on the sheerly functional characteristics of capitalism, but that makes their poverty neither less ugly nor any easier to remedy.

For the majority, however, the outlook is surely hopeful! Does this mean, then, that capitalism has solved its economic problems, whatever its lingering social ones? Is the future now the bright path indicated by Keynes?

Not necessarily. For if capitalism is growing richer, it is also growing in other directions and displaying other trends—not all of them healthy ones. Capitalism has fulfilled its most pressing requirement—the provisioning of its constituents. It holds out a prospect of an even better life. Now we must inquire whether there are other forces at work which may project a very different vision of the future.

We must go back a few years to study what these forces may be. And so we listen first to a warning voice that came in 1932.

Significantly, it had nothing to do with Keynes's vista of the future, and it was certainly not couched in his entertaining mixture of whimsy and hopeful economics. The warning lay in the dry statistics of a book—*The Modern Corporation and Private Property*—and its authors, Adolph Berle and Gardiner Means, wasted no time on the year 2030. They were concerned about a trend which would materialize a great deal sooner.

It was this: If the dominant trend of American business continued for another fifty years, the traditional fabric of capitalism would be destroyed.

For looking at the American market place, Berle and Means found an appalling statistic: in 1932, one-half of all corporate wealth was in the hands of just two hundred companies. Worse yet, at the rate at which the two hundred behemoths seemed to be growing, compared with the three million pigmies which made up the rest of American enterprise, by 1950 it appeared likely they would control three-quarters of the nation's incorporated wealth. And by 1975 or thereabouts—to carry Berle and Means's figures to their logical, if unstated, conclusion, the

two hundred giants would virtually rule the economic life of the nation, not unlike the feudal principalities which once ran the economic life of Europe.

But it was not just the statistics of size that impressed the two observers—although the biggest of these companies was already wealthier than twenty-one of the states of the Union. The shattering impact of their statistics was in the implication they held for the market system itself. For when the heads of the companies that turned out nearly half the goods America bought could be comfortably seated around the banquet table of a modest hotel, the whole traditional concept of competition suddenly appeared woefully unrealistic.

Were U. S. Steel and Bethlehem Steel, each respectfully and warily eyeing the other, to conduct themselves as if they were just two vegetable hawkers in a crowded market? Were the three firms in automobiles who did two-thirds of the business to act as if they didn't know they controlled their industry? Or the three who occupied the same position in cigarettes, or farm machinery, or tires, or office machinery, or tin containers?

Obviously not. It was no longer each man for himself and devil take the hindmost. The new situation dictated a new philosophy of live and let live. And although such a code of behavior might be a great deal easier on the businessman, what did it do to the consumer? The whole moral justification for capitalism lay in the fact that in a competitive market the consumer was king. When economic life was carried out under the aegis of enormous enterprises that no longer had to compete, it looked very much as if the royal mantle had been shifted to the shoulders of the producers.

And to compound the danger, these producers were no longer even responsive to the economic interests of their "owners."

Traditionally, of course, it was just the conflict of interests of owners which made up the mechanism of the market in the first place. But the men who ran American Telephone and Telegraph or Pennsylvania Railroad were not the owners of those companies. All they had to show,

by way of ownership, was a tiny fraction of millions of outstanding shares. The average holdings of management among the nations biggest corporations were less than three per cent of their shares. In a third of the biggest companies they were less than one per cent

The actual owners, in the eyes of the law, were thousands of stockholders, scattered about the country who held one, ten, or even a thousand shares each. But these innumerable owners displayed none of the time-honored prerogatives of ownership: they neither operated their businesses nor had a voice, save at the most distant remove, in their operation. Many didn't even know what their companies made. "Ownership" seemed to have drifted into a kind of passive speculation, a ticket to income a piece of paper which might be advantageously traded on the market.

And this left the managers singularly free to pursue whatever ends they desired. The element of compulsion, which still drove the owner-manager of a corner drug-store to behave in the market as Adam Smith had said he had to behave, was lacking for the great corporation executives. Freed from the immediate pressure of competition, only remotely responsible to the thousands of legal owners' who dutifully voted their proxies as management urged them to, the rulers of giant business were in a state of economic limbo.

They might, of course, behave as the textbooks preached. Or they might simply milk their corporations for their own gain: one tobacco company president, over stockholder protests, paid himself a million dollars a year. Or they might embark on the most praiseworthy labor or community relations. But the point was, it was no longer possible to predict their actions by pointing to the simple motive of "self-interest" in a simple environment of competition.

Such a system of independent managership might be good or bad—but it was certainly not traditional capitalism. For the essence of capitalism was that no producer could set himself up as an independent force, to do exactly as he wished. All were locked together in a chain-step

march and the result—as Adam Smith had never wearied

at 5,” market smiled at the fictional character of owner-
 1 v. o-nrl simply ran their businesses— reconciling the
 dimes of labor stockholder, government community, and
 themselves—as best they could and as they saw fit.

One observer—Professor James Burnham in a book
 called *The Managerial Revolution*—suspected we were
 drifting into a society in which a self-perpetuating group
 of professionals would order the economic world, much
 as Veblen had once hoped his engineers would do. Burn-
 ham even had the chilling notion that the professional
 managers of neocapitalism resembled no one quite so
 much in the tasks they performed as the professional
 managers of the Russian commissariats and the Nazi
 combines.

That was one avenue into the future along which the
 economy seemed to be moving thirty years ago. We shall
 return to it later, for the question of whether private
 property is crystallizing into a kind of latter-day feudalism
 is obviously of prime importance for any appraisal of the
 future.

But it was not the only warning voice. From a different
 quarter of the economic world came a second caution,
 equally concerned with the decline of traditional capital-
 ism. This time, however, the threat was not huge busi-
 ness: it was huge government.

We have already briefly met its protagonist: Dr. Fried-
 rich Hayek. The reader will perhaps remember that dur-
 ing the Second World War Dr. Hayek attacked govern-
 ment planning in *The Road to Serfdom*, about which
 Keynes seemed to be of two minds—both liking the book
 and disagreeing with it.

But while Keynes disagreed with Hayek about the
 need for planning, his defense of the dangers of planning
 did seem rather weak. Hayek had watched the progres-
 sive enslavement of his native Central Europe under the

iron rule of fascism and he believed he saw in that relentless process something like an internal law. He believed, in fact, that once a government had interfered enough with the market mechanism it had no alternative but to embrace the economy in a top-to-bottom rigid grip.

It was not every government action which thus carried the seeds of proliferation. Of some interference—for some welfare purposes, or to redress an obviously inequitable balance of power, or to offset a bad depression—Hayek approved. It was another kind of government activity whose consequences he feared: the direct control over economic activity itself.

For what seemed to mark off this kind of planning from the milder and more beneficent sorts of government interference was that planning was characterized by a peculiar inability to call a halt to itself. Once set in motion, an inner necessity forced it to expand.

That necessity did not rise from the personal motives of the planners—one might almost say it arose despite them. For the planners did not set out in every case to control the nation's entire economy. All they wanted to do was to plan a few sections of that economy—say, its steel output or its export industry.

But there was a difficulty. It was not so simple to plan just one part of an otherwise planless society—indeed, the task was like trying to walk a straight line through a crowd. However carefully calculated the plan, however thoughtfully hedged against contingencies, something invariably turned up which threw it out of kilter. Perhaps it was a business which failed to meet a deadline with some essential subassembly; perhaps a union which went out on strike; perhaps merely the changing tastes of consumers which upset prices in the rest of the economy.

Such miscarriages of expectations are the despair of every private businessman. But what is only a private misfortune for him is a national calamity for the planner. For if a large and integrated plan for a vital section of the economy collapses, it may endanger the entire productive effort of the community itself. So what is a planner to do when he meets his unavoidable trouble-spots? The an-

swer-the easy and obvious and sensible answer-is to plan still more, to widen the original plan so as to embrace the unruly elements of the economy withm the smooth mechanism of directed activity. .«

Thus in England, for example, in order to achieve th planned production of the nationalized coal mines m the late 1940's, it was necessary to introduce a plan tor tne recruitment of labor, and in order to achieve the planned recruitment of labor, a planned schedule of wages had to be set up, and in order to keep coal-mining wages at a suitable differential over other wages, the whole national pattern of industrial pay became a matter of concern. What had started as a simple output plan became neces- sarily a far wider one. Just as the easiest way to walk through a crowd is to order it to line up in straight rows, so the easiest way to have a plan work is to make it work.

And in the end? Hayek feared that planning led in- exorably to what Lenin called Who Whom: who plans whom, who directs, chooses, allocates what to whom? It spelled the end not only of capitalism but of personal liberty as well.

That was a second fate which seemed to lie hidden in the trend of capitalist development. And as if two such prospects for the future were not enough, still a third ap- peared. This one asked the most depressing question of all: Can capitalism continue to grow?

The question was put in the late 1930's by a man who could be seen almost any day hurrying across the Harvard Yard to lecture to his class. Professor Alvin Hansen was one of the most respected of the American economists; behind his back he was called "the American Keynes." When he went down to Washington to testify in the monopoly investigations (he appeared complete with green eyeshade and classroom pointer), he turned the committee into a hushed private seminar. "The discus- sion is getting so interesting. Doctor," said the chairman, that we are violating our rules on all sides."

No wonder it was interesting. Hansen felt that the whole environment of capitalism was changing and

changing in a most unfortunate way. A great current which had carried the capitalist ship along in the past was petering out, and henceforth progress would have to be made without the aid of a constant, favoring, urgent stimulus. '

What was the stimulus? No one would have been more surprised than Malthus—it was population growth.

Malthus had believed that the great barrier to economic progress was the flood of mouths which gobbled up any slight surplus society might wring from Nature. But Hansen saw population growth in a different light. While a runaway population might swamp society, a reasonable rate of increase should have the opposite effect. It should spur society on by giving it a constantly growing demand for new homes, more clothes, larger quantities of goods of every kind. A regular increase in the nation's census—provided it was held within bounds—was the safest and surest guarantee that an adventurous program of expansion would turn out to have been a sensible undertaking.

In the past that regular increase in population had certainly taken place. Each decade had brought with it a vast new market: between 1800 and 1810 we had added a million Americans to the nation; between 1810 and 1820, 2 million; in the next decade twice that, and in the decade of the Civil War twice that again. The ten years at the turn of the century saw 12 million added to the nation, and in each of the decades that ended in 1910, 1920, and 1930 fifteen million citizens had been added to our population.

But looking at the census figures of the 1930's, Hansen found an alarming trend. The rate of population growth was slowing down. In England and France it had virtually come to a stop; in America it was rapidly tapering off. We were still a growing nation—but a much more slowly growing one.

In the depression thirties only 8 million new customers enlarged the market—half the usual increase. No wonder, said Hansen, that this depression proved so difficult to cure. And in the ten years which loomed ahead from 1940

to 1950 only 6 million were estimated to appear—only one-third of the normally expected extra market. Then by the last quarter of the century, if the trend continued, the great era of growth would come to a complete stop. America would face a static population.

Malthus would have been delighted; Hansen was not. For this meant that the single greatest stimulus to investment could not henceforth be counted on. And if investment were to be deprived of its surest ally, if there were to be a slackening in the process of investment growth on which everyone from Adam Smith to Keynes had pinned his hopes, what would happen to the American prospects for the future?

The possibility could not be summarily written off. To be sure, the fabulous enrichment of the American people had not depended entirely on population growth. There had been the West to conquer, and there had been a protean flow of revolutionary want-creating inventions. But just as population growth could no longer be relied upon to exert its powerful impetus (think of the housing alone needed to satisfy a fifteenfold increase in American population in the nineteenth century I), so the old frontier was a thing of the past. The West was no longer unexplored territory where any man might make his fortune; it was a stalwart competitor of the East.

And what did all this imply? It meant that in the future the stimulus for capitalism's investment would rest on the shoulders of technological progress alone. And this carried with it a difficulty of a special kind. The great inventive contributions of mankind had always come in sudden bursts: an era of industrial revolution; an era of railroadization; an era of electrification; another of automobile building. Each cluster of inventions had resulted in a spurt of investment, but when each had run its course, the hectic activity of building was succeeded by a period of quiescence.

The future might be equally as inventive as the past—perhaps even more so. But the pace of invention was likewise apt to be as sporadic and irregular. Unless the economy were bolstered between its periods of technologi-

cal advance, it would surely develop a succession of depressions—deep depressions made all the more intractable by the lack of an undercurrent of steady population growth or the easy availability of new geographical markets.

And the upshot was this: it looked as though the government motor which had been hastily rigged during the worst of the depression doldrums would have to be converted into a fixed auxiliary engine. The old free-enterprise system would have to settle for a partner—an unwanted but necessary partner—in the shape of a permanent stream of government spending to keep the economy moving steadily on ahead. The era of self-directed, self-powered capitalism had come to an end; a new era of state-controlled “mature” capitalism was beginning.

It was hardly an outlook calculated to instill a bland confidence in the future. And these were only the major issues which perturbed the diagnosticians of capitalism in the late 1930's and early 1940's. There was a host of subsidiary questions too, recurring flurries of concern about gold or labor or agriculture or tariffs and international trade. But the three main questions—the drift toward corporate bigness, the danger of overplanning, and the uncertainty of growth—seemed to penetrate to the heart of the matter. For these tendencies appeared as trends of capitalist development and as such seemed to pose a series of deep-rooted, indigenous problems for the future.

Were these worries justified, or were the trends only transient difficulties? Over a quarter of a century has passed since the questions were propounded, and capitalism has had ample time to rid itself of any temporary aberrations which might have misled its observers in the 1930's. If the trends were only a passing phase, then the dangers they suggested should be much less evident today. Are they? „ , , _

Well consider the fact that in the late 1950 s the hundred and thirty-odd largest manufacturing corporations accounted for half the manufacturing output in the United

c. f c anA that the two hundred and fifty biggest firms turned out a flow goods equal in value to the output of the entire economy prior to the war. These hard y

Nor were those of Dr. Hayek. By the late 1960 s total state local and Federal government expendituic had grown to comprise one out of every four dollars of our Gross National Product. Our Federal budget, despite the attempts of Republicans and Democrats alike to paie it down, seemed to display an intractable expansive impe-
tus; Federal expenditures for all Purposes rose fion \$40 billions in 1949 to more than \$130 billions by 1967. Most of this, to be sure, was associated with a growing level of national defense. Yet to many people the trend seemed to indicate that Hayek's premonitions of a self-feeding drift to planning were indeed justified and that the implications for freedom were anything but auspicious.

Dr. Hansens misgivings with regard to growth looked somewhat less prescient at first. There had been trembles in the line of economic advance to be sure, but from the late 1930's through and then beyond the war, the pace of advance had been spectacular. Gross National Product, which was less than \$100 billions when Hansen issued his warnings about a "mature" economy, had grown to seven times that size—and measured in tonnages and yard-
ages of output, rather than in rising prices, total produc-
tion had quadrupled since 1935. Yet the fact that growth had been largely brought about by two wars and a mount-
ing level of government expenditure continued to raise Hansens question: would we grow if government spend-
ing stopped?

Thus the warnings posed by the investigators of capi-
talism in the late 1930's do not seem to have been without substance. The central questions of a quarter centuiy ago continue today to comprise the great economic ques-
tions facing capitalism. Let us follow the main lines of contemporary economic thought to find out what these problems portend for the future.

Are we headed for an economy in which a few business giants will have swallowed up all economic activity? Certainly the statistics of business size are awesome. Before World War II when a company like General Motors achieved a billion dollars' worth of sales it rated a headline in the financial pages. Nowadays the only interest that "a billion dollars," as a unit of measurement holds for the financial community is whether General Motors will make once or twice that sum as profit.

Yet the raw facts of bigness dramatize but do not elucidate the issue. And that issue is not the emergence of individual Brobdingnagian firms, but the question of whether en masse the giants are taking over more and more the economic activity of the nation.

Here the evidence is surprising. The top 100 industrial corporations owned 25 per cent of all industrial corporate wealth in 1929; in 1960 they owned 31 per cent. This is evidence of continued growth of the business giants, but growth at a much less alarming rate than that feared by Berle and Means. Perhaps equally important, the degree of concentration within various industrial markets—that is, the proportion of sales in those markets made by the biggest companies—seems to have remained virtually unchanged in most cases since the end of World War II.

What has brought about this slowdown in over-all expansion and this stability in concentration ratios? Many factors have undoubtedly combined to bring about the result—the anti-trust laws that have prevented big businesses from mergers that might have affected concentration ratios, the generally prosperous state of the economy that has encouraged the formation and growth of smaller businesses, the decline of the old-fashioned tycoon bound for acquisition by the newer-fashioned "professional" manager interested in preserving his corporate empire for the long run.

Does this mean that Berle and Means's worries about business giantism are to be set aside? Far from it. We have avoided the danger of galloping concentration but we have by no means avoided the consequences of an economic system in which big managed businesses, rather

than small “owned” businesses are the main protagonists of the market process. . . .

We can see the result in the changing character of that emulating

Before example, it was made pretty plain that competition the lexicon of large enterprise, largely meant tempting customers away from rivals by product differentiation or by fancy service or better advertising or more enticing corporate images. This new definition of competition gave every advantage to the consumer except one. It no longer gave him a mechanism which automatically operated to push prices down to the lowest level compatible with costs of production. Indeed, sometimes the new competition” seemed to ensure that the customer paid not the lowest but the highest possible price. In 1957, for example, the Ford Motor Company announced new car prices up some 2.9 per cent over the previous year. Two weeks later General Motors published a price list which was up an average of 6.1 per cent. Whereupon the Ford Company quickly revised its prices upward, in order (as a company spokesman explained) “to meet competition.”

Thus even if the big corporations were extending their sway only very slowly within the total economy, within the industries in which they were predominant, something foreseen by Berle and Means was indeed taking place. It was the slow breaking down of the traditional function of the market as the supreme economic authority of a free-enterprise economy. In the old atomistic world on which the theory of capitalism had been based, it could truly be said that the consumer was king and that the business firm was his servant. In the new world of industrial giants, the consumer was no longer the unequivocal master of the economy. Indeed, as Professor Berle wrote in 1957, “some of these corporations are units which can be thought of only in somewhat the way we have heretofore thought of nations.”

Does this mean that the corporation is today free of all the traditional web of competitive controls, which from Adam Smith’s time on have been relied upon to bend in-

dividual self-interest to the social will? Does it mean that the consumer, the much lauded master of capitalism, is now only a puppet-king—encouraged in his ceremonial office, which is buying, but prevented from performing his real office, which is ruling?

The situation is not quite that black. Whereas within the oligopolistic markets (to use the technical term for markets controlled by only a few sellers) competition is giving way to “administered” prices, among oligopolies a meaningful economic battle rages. The battle of prices no longer is waged between U.S. Steel and Bethlehem, but it still engages all steel against all aluminum, all aluminum against all glass, glass against plastics, plastics against wood, wood against concrete, and concrete—to complete the circle—against steel. In this battle of industries, the consumer still plays his pivotal role and still commands a formidable power.

In addition, one contemporary economist, John Kenneth Galbraith, has called attention to a new safeguard in this world of competing oligopolies. Great masses of power on one side of a market, he points out, are often faced by “countervailing” masses of power on the other. Thus the great corporation is matched against the great union; the great producer of raw materials is faced with an equally powerful processor of its products; the enormous manufacturer must contend with the enormous chain retail outlet or chain department store. Such countervailing power does not arise in every case, and not in all circumstances—including, most importantly, the circumstance of inflation when big business and big labor use their power not against each other but in tandem against the consumer. But in “normal” circumstances there often appears to be a division of power across the market, which provides some of the price protection no longer afforded by a competitive atomization of power on each side of the market. i i j

And then Galbraith has pointed out another overlooked aspect of the world of oligopolies—it is a good deal pleasanter world than the old dog-eat-dog competitive situation. For the old economic combat of competition was

n,, an unmixed blessing, while it held private economic

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shearing the businessman from the pitiless pressures of the market, also allows him to lift his workers' noses from

^The result is a contradiction of textbook gospel. It is not the nation's competitive industries that pioneer in research or forward-looking labor policies. The show-pieces," writes Galbraith, "are, with rare exceptions the industries which are dominated by a handful of large firms. The foreign visitor, brought to the United States . . . , visits the same firms as do the attorneys of the Department of Justice in their search for monopoly."

What are we to make of this whole complex issue of corporate power? As with many economic problems, there are no black-and-white answers. If Berle and Means were unduly pessimistic in anticipating an engulfing growth of the giant corporations, they were eminently foresighted in predicting that huge enterprises, managed by men who were no longer beholden either to the "owners" of the business or to the "market," would constitute a form of power quite unlike that on which capitalism was presumably founded. That this power can be used irresponsibly and to the detriment of the consumer is obvious. At the same time it is also evident that the great oligopolies are not yet an encrusted economic feudalism and that their very size leads not only to economic problems but also to some far-reaching social benefits.

In short, we seem to confront a form of economic power great with possibilities for economic good or evil, which is not yet "rationalized" within an overarching philosophy of political economy nor regulated within a system of institutional controls. In the end, of course, unless we are resigned to a kind of business neo-feudalism, the new corporate powers must find a legitimate place

within, and not above, their larger social and political matrix. What that place will be, how their responsibilities will ultimately be defined, and in what way the new balance of economic power will be achieved are questions which today—and surely for a long while to come—will remain among the crucial problems with which modern capitalism must be concerned.

One thing is certain, however. The continuing expansion of individual corporate giants makes the continuing expansion of the total economy doubly important—not only as a means of affording more goods and services to the nation, but to ensure that big business growth will not engulf the economy.

And hence our concern with corporate bigness brings us, by an unexpected route, back to Professor Hansen's problem. What are the chances that we will continue to grow? And how much must we rely on government support in order to grow?

At first sight, unlike the frightening statistics of business size, the statistics of economic growth seem to dispel all of Hansen's worries. He was concerned, we will remember, with the slowing down of our rate of population growth and with the added burden which would thus be thrust on technology as the principal carrier of capitalism's growth. In the late 1930's these seemed like grave problems, but distance has lent a new perspective to them. For following World War II a totally unexpected upsurge in the birth rate—from about 17 per 1,000 in 1935 to nearly 25 per 1,000 in the 1950's—radically changed the population outlook. In retrospect, the low birth rates of the thirties appear to have been a Depression and post-Depression phenomenon, and the long secular increase in population bids fair to continue for a very considerable period. Indeed, as we have seen in our chapter on Malthus, if there is any worry stemming from the population outlook, it is that our rate of growth may be too high, not too low.

More important, in hindsight it is clear that in the 1930's

we seriously underestimated the power of the technological thrust behind the economy. Only recently have we become aware that the curve of technology is rising almost vertically beneath our feet, that we are only entering the age of science. A Harvard professor has computed, for example, that of all the scientists of whom history has ever known, ninety per cent are alive today; a General Electric vice-president reports that of all the money spent by all public and private sources for research and development in the United States since 1776—\$100 billion in all-half was spent in the last ten years.

Thus, the technological prospect for growth also looks bright. Does this lay the ghosts that Hansen conjured up in the committee rooms in the 1930 s? Not quite. If the momentum of our economy seems secure—certainly much more secure than it seemed in the anxious days when Hansen warned about the long-term outlook—it still has its problematic aspects.

The first of these concerns the relationship between arms spending and growth. A fact that is often overlooked when we reflect proudly on our economic record since World War II is the degree to which our economic expansion has been aided by military expenditures. First the Second World War itself, as the cure for the doldrums of the post-Depression semirecovery; then the stimulus of Korea; then the continuing alerts of the Cold War; and finally Vietnam: with the exception of the first five post-war years, military expenditures never failed to add at least \$20 billion and in most years \$30 to \$50 billion of purchasing power each year. Today roughly a tenth of our total output is bought by the Defense Department, and the indirect repercussions of those purchases sustain an even larger proportion of output.

Does this mean that we are a “war economy”—that in the event of effective world disarmament we would suffer a collapse? Few, if any, economists believe so. A gradual phasing-out of defense spending should enable many arms contractors to switch to peacetime goods, while the “1 associated with lower defense spending would also swell the demand for these goods

Yet, if few economists see disarmament as the cause of a major depression, most economists do see it as the signal for a considerable increase in peacetime public spending. Why? In part the answer lies in the backlog of unsatisfied public needs that have a high moral priority on output—the repair of our decaying cities, the solution of our snarled transportation problem, the cleansing of our air and water, and the provision of care for the aged, of recreation for the young, and of education for a college-bound generation.

But also in part the reason is that most economists feel that the private sector, left to itself, might well fail to generate enough purchasing power to absorb the enormous output of our present-day economy. Although private investment and private spending will continue to be the mainstays of economic activity, nearly all economists agree that there is need for an important subsidiary stream of public expenditure if we are to be certain that the volume of demand will be large enough to buy up all our production.

What is the reason for this fear? It is that we have experienced a drag of unemployment, even during the best years of our postwar growth. Until the mid-1960's, our rate of joblessness hovered between 4 and nearly 7 per cent—not so serious as to constitute a major threat to our well-being, but certainly not good enough to enable us to consider ourselves a full-scale economic success. Worse, unemployment was concentrated in certain social groups that could least well fend for themselves; in 1966, for example, the unemployment rate was 7.3 per cent among laborers, and reached up to 30 per cent among Negro young people. Only by applying the extra push of public demand, many economists believe, can this waste of human resources be kept to a minimum.

To this we must now add a second problem. It is that technology has been steadily changing the structure of employment. A look at the table below makes the point clear:

Distribution of Employed Workers (Percentages)

	Agriculture forests, fisheries	Manufacturing, mining, transportation, construction, utilities	Trade, professional and personal services, government
1900	38	37	25
1963	8	36	56

Concealed within the table is a dramatic fact. Somewhere during the past sixty years—in fact, during the late 1940's—the number of people engaged in providing services of various kinds—clerks, teachers, policemen, lawyers—exceeded the number engaged in making or handling goods. A society concerned primarily with production has given way to one concerned primarily with administration and distribution.

What has brought about this dramatic shift? The answer is largely technology, which has steadily replaced the work done by people in the goods-producing parts of the economy with work done by machines. As a result, labor has left those areas in which machines were more economical than humans and has entered the fields of services in which humans are far superior to machines.

What has this to do with the future? The answer is that we now stand at what may be the threshold of a new era of technological advance—an era in which machines can be made to perform more and more work in the service sector. Anyone who has visited a modern bank or insurance company or corporate office and seen the batteries of silent computers and clunking electric printers knows that machines can now do the work of filing clerks and accountants and tellers and office managers and junior executives. In other words, technology may be entering the fields that have hitherto provided the great refuge for the labor that has been displaced from the farm and the factory. The question is, then, where will future displaced labor go?

The question is not difficult to answer. If we want to apply the skills of tomorrow's workers who may be unable to find work in the traditional places, where would

we look? We would look to precisely those areas that the economists have already selected for their high moral urgency—to the repair of the cities, the strengthening of the public safety and convenience, the improvement of education and recreation, and so on. In a word, the new frontier for employment is apt to lie in the same direction as the new priorities for spending—in the growth of public rather than private activity.

Thus, curiously enough, Hansen seems to have been right in his final prognosis, even if not in his immediate outlook. The expected slowdown in population growth or in technology did not materialize—indeed, just the contrary—but the expected reliance on government spending did.

Thus, the pursuit of Dr. Hansen's problem brings us back to consider Dr. Hayek's. For if our future expansion is to take place in an environment of government participation, then planning will play a far more important role in our economy. Does that portend the road to serfdom? Must planning end in Lenin's *Who Whom*?

It can. When a country in misfortune plans—say, an underdeveloped country in a desperate hurry for industrialization—then planning almost inevitably encroaches on the prime areas of economic freedom. You cannot plan for survival without allocating men to jobs and materials to producers, and it is doubtful whether you can make such allocations and still retain a free-market system.

But all planning is not planning for survival. In a country such as the United States, planning would not be to ration scarcity but to assure the advent of abundance. And in such a setting there is much less reason to expect an explosion of planning to set in. It is not a matter of indifference to an underdeveloped country if its economic plans fail to live up to expectations; it is a matter of emptier bellies in the whole nation. But not so in a wealthy economy. The main purpose of planning in a rich community is to ensure that enough economic activity is carried on to prevent a slump or unemployment, or to assure that the quality of life keeps pace with the sheer quantity of production. Short of defense considerations, it is rare

that such planning activities carry a life-and-death urgency. Suppose, for example, that the government should

to take over the nation's cement plants: the highways unlike the expenditures of an underdeveloped nation can wait. It is this lack of urgency which makes the difference. Planning in a wealthy nation can have a flexibility it can never have when every project is a matter of the highest national importance. ,

Nonetheless, there is a final caveat. Planning in the form of government expenditure need not be a self-feeding process in a society of wealth, but we cannot so easily dismiss the possibility of a cumulative growth of planning in the form of a network of controls over our oligopolistic markets. Indeed, unless we find a way to prevent huge accumulations of market power from imposing their wills on society, either as producers of commodities or as suppliers of labor, the government will have to provide a planning mechanism which may indeed grow large and tight. No economist has yet provided a compelling prescription for restoring the old market interplay to its traditional role of command. And at least one eminently respectable economist, Ben Lewis, commenting on the decline of the self-regulating market, has written unequivocally on what will take its place: "The years ahead will see a great increase in conscious, collective government controls and of government enterprise. . . . The conviction that great power over the economy must reside only in a government of the people will be acted on relentlessly, bluntly, and with force."

Whether or not such planning may be in fact the road to serfdom is hard to say. Much depends on one's political sympathies, on what Malthus called "the insensible bias of situation and interest." Perhaps in the end the crucial factor will be—as Keynes suggested—the moral reservations of the planners themselves (he rather hoped it will be remembered, that the planners would vaguely disapprove of planning). It may well be that in an economy of want and impatience such moral hopes would be

frail and foolish. Whether they will be reasonable hopes in an economy of growing affluence we do not know. Almost surely the future will see a rise in the importance of planning, in part to sustain and guide our growth, in part to control the huge and increasingly independent productive units of the economy. Whether, fifty years from now, the forebodings of Hayek or the more sanguine possibilities envisaged by Keynes will more accurately describe the texture of our economy is perhaps the most important question facing the economic society in which we live. It is not without significance that its outcome may depend as much on moral factors as on the impersonal process of economic evolution alone.

And so the issues remain—only half resolved. The weakening of the traditional competitive mechanism before the power of the great business oligopolies, the seemingly permanent use of government expenditure as a means of assuring growth, the new problems of planning—all remain in mid-development. If the worst fears of the economists and social observers who first spied these trends have not been realized, the trends themselves are very much in evidence. To put it differently, the economic structure of capitalism has developed much as was predicted, but the social consequences of these structural changes are not yet fully clear.

Does this mean that capitalism itself is, so to speak, on trial?

That is a question we must postpone to our final chapter. For there is yet one more voice to be heard from. It is by all odds more sympathetically inclined toward capitalism than any we have listened to in this chapter.* Strange, then, that it will give us more cause to ponder the future than any of the critics.